Pearson Edexcel

Level 3 GCE — Predicted Paper — Advanced
Economics A (9EC0/03)

Paper 3: Microeconomics and Macroeconomics

Synoptic paper. Two case-study sections combining micro and macro.

MARK SCHEME

Total Marks: 100 • Time: 2 hours

(For revision and practice use only.)

General marking guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- All marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where judgement is required, mark schemes provide principles; exemplification may be limited.
- Crossed-out work should be marked unless replaced by an alternative response.

Advanced-tier expectations

This paper is intended for the highest-attaining A Level candidates and rewards fluent use of theoretical frameworks beyond the core specification. Level 5 responses should demonstrate: (i) explicit use of at least one advanced framework signalled by the question — the task-based model of the labour market; general-purpose technologies and the J-curve of productivity; skill-biased and routine-biased technical change; Mundell–Fleming and the trilemma; Rey's global financial cycle "dilemma"; sudden-stops literature; original sin and dollar dominance; (ii) careful handling of assumptions and the distinction between partial and general equilibrium; (iii) explicit acknowledgement of conditions under which the analytical result changes sign; (iv) synoptic integration of micro and macro arguments.

Assessment Objectives — weighting in Paper 3

- AO1: Demonstrate knowledge of terms/concepts and theories.
- AO2: Apply knowledge to problems and issues in familiar and unfamiliar contexts.
- AO3: Analyse issues within economics, showing an understanding of their impact on economic agents.
- AO4: Evaluate economic arguments and use qualitative and quantitative evidence to support informed judgements relating to economic issues.

Levels-based marking for 25-mark questions

Indicative content is provided as a guide and is not exhaustive. Use the descriptors below to award an overall level, then use a best-fit approach within the level.

Level	Marks	Descriptor
1	1–5	Isolated knowledge, largely descriptive. Limited use of extract/figure. Very limited or no analysis; no evaluation.
2	6–10	Sound knowledge of at least two relevant concepts. Some application. Analysis is developed but does not engage with the advanced frameworks signalled in the question. Evaluation is undeveloped.
3	11–15	Good knowledge across several concepts. Consistent application. Analysis engages at least briefly with relevant advanced frameworks (task-based labour model, general-purpose technology, Mundell–Fleming, global financial cycle). Evaluation is attempted.
4	16–20	Strong, synoptic knowledge. Precise, data-driven application. Analysis demonstrates fluent use of advanced frameworks and awareness of assumption sensitivity. Explicit, supported evaluation.
5	21–25	Excellent, integrated, synoptic knowledge. Sophisticated application embedded throughout. Analysis uses advanced frameworks rigorously, distinguishes static from dynamic efficiency and partial from general equilibrium considerations, and handles trade-offs and conditioning

Level	Marks	Descriptor
		assumptions explicitly. Evaluation is prioritised, contextual and leads to a reasoned, supported judgement.

Question 1(a) — Calculation and comment (5 marks)

Productivity gain as a percentage of AI exposure for the Professional group.

Marks breakdown

AO1	AO2	AO4
1	2	2

Expected working and answer

- From Figure 1: Professional AI exposure = 29%; Professional productivity gain = 11%.
- Ratio: (11 / 29) × 100 = 37.9% (accept 38% or 37.9%).
- Comment: although the Professional group has the highest task-level exposure to generative AI, realised productivity gains are equivalent to only ~38% of that exposure — consistent with incomplete capture of gains due to organisational adjustment costs, complementarity requirements, or offsetting task-substitution losses.

Marking notes

- 1 mark: correct identification of both values from the figure.
- 2 marks: correct method (gain / exposure × 100).
- 2 marks: correct answer with a substantive comment linking the ratio to task-based adoption or complementarity considerations.
- OFR applies if method is correct but a minor slip occurs. No comment caps at 4/5.

Question 1(b) — Discuss (12 marks)

Microeconomic effects of generative AI on wages and employment of workers in high-exposure occupations, using the task-based model. Labour market diagram required.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
3	3	3	3

Task-based framework

- Occupations are bundles of tasks — routine cognitive, non-routine cognitive, routine manual, non-routine manual.
- Effect on wages depends on whether technology substitutes for or complements each task type.
- Earlier digital IT substituted for routine tasks → hollowing-out of the earnings distribution.
- Generative AI substitutes for some non-routine cognitive tasks previously thought protected — shifts exposure upward along the skill distribution (Figure 1 shows 29% exposure for Professional vs 4% for Low-skill).

Analysis

- Substitution effect: for tasks AI can perform, the marginal revenue product of labour falls → labour demand shifts left → lower wages and/or employment in the occupation.
- Complementarity effect: for tasks where AI raises worker productivity, MRP rises → labour demand shifts right → higher wages for AI-complementary skills.
- Net effect depends on the within-occupation mix; Figure 1 showing gains equal to ~38% of exposure for Professional workers suggests mixed effects.
- Experience-premium compression: early studies (e.g. Brynjolfsson–Li–Raymond) show less-experienced workers gain most — AI narrows the within-occupation skill ladder.

- Diagram: labour market for a high-exposure occupation with original equilibrium at W_1,L_1. Show demand curve shift (D_2 below D_1 if substitution dominates, above if complementarity dominates) with new equilibrium and resulting wage/employment change.

Evaluation points expected

- Time horizon — short-run adjustment costs vs long-run re-equilibration.
- Task-level vs occupation-level exposure — occupations are re-bundled rather than eliminated.
- Market-power concentration — rent capture by frontier-model owners compresses exposed workers' wages.
- Product-market feedback — productivity gains lower prices, raising real wages even where nominal wages fall.
- Heterogeneity within exposed occupations: AI-complementary vs AI-substitutable roles.

Marking notes

- Cap at 9/12 without a correctly labelled labour market diagram.
- Top-band responses distinguish substitution from complementarity at task level, rather than treating AI as a generic productivity shock.

Question 1(c) — Examine (8 marks)

Advantages of portable individual-level training accounts over universal basic income (UBI) as a response to AI-driven labour-market disruption.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)
2	2	4

Indicative content

- Targets the underlying market failure — under-investment in human capital due to information problems, credit constraints and positive externalities. A Pigouvian-type correction.
- Preserves labour-market attachment: training accounts subsidise re-skilling without reducing work incentives; UBI may reduce labour supply at the margin.
- Portability matches the rising importance of job transitions in AI-exposed occupations — entitlements travel with the worker.
- Fiscal efficiency: narrower target population → lower aggregate fiscal cost than a universal transfer.
- Worker choice of provider introduces competition in the training-provision market.
- Signalling and certification benefits — completed training yields recognised credentials, addressing employer information problems.

Application expected

- Figure 1 shows exposure concentrated in Professional and High-skill occupations — suggests mid-career transitions are a priority; UBI is poorly targeted to high-earner retraining needs.
- Extract references to adjustment costs and the value of less-experienced workers gaining most.

Marking notes

- Top-band answers should acknowledge genuine UBI advantages (coverage of informal work, administrative simplicity, reduced poverty traps) and explain why training accounts dominate in the AI-disruption context.
- One-sided advocacy caps at upper Level 2.

Question 1(d) — Evaluate (25 marks)

Micro and macro factors an advanced economy should consider when designing policy to ensure the productivity gains from generative AI are broadly shared.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — microeconomic factors

- Labour-market policy: portable training accounts, apprenticeship reform, skills matching — target the task-level reallocation.
- Product-market competition: antitrust and merger policy for frontier-model firms and compute infrastructure — prevents rent-concentration undermining wage gains.
- Data and IP policy: rules on training data, model access, interoperability — distribution of gains across firms.
- Firm-level incentives: R&D credits and full expensing of capital investment; must avoid tilting towards labour-substituting capital.
- Workplace regulation: algorithmic management, data-protection rules on workplace surveillance.
- Education system: STEM and critical-reasoning skills, post-16 pathways, lifelong learning entitlements.

Indicative content — macroeconomic factors

- Aggregate productivity and LRAS: conditions under which AI becomes a general-purpose technology — requires complementary capital, organisational change, diffusion through the long tail.
- Fiscal system: rising returns to capital relative to labour may require tax-base adjustments (corporate tax, CGT, energy-of-compute levies).
- Social insurance: unemployment insurance design, portable benefits, wage-insurance pilots.
- Macro stabilisation: sectoral adjustment costs widen regional output gaps — targeted fiscal support.
- Inflation: productivity-induced disinflation may lower the neutral real rate — monetary policy implications.
- International coordination: compute access, export controls on frontier hardware, tax competition — unilateral policy has limited reach.

Theoretical frameworks expected

- Task-based labour model (Acemoglu–Autor–Restrepo).
- Skill-biased / routine-biased technical change.
- General-purpose technology literature (Bresnahan–Trajtenberg) — J-curve of diffusion, productivity paradox.
- Pigouvian correction of training externalities; monopsony in labour markets.

Evaluation points expected

- Time horizon — productivity gains realised over a decade; adjustment costs immediate. Time-inconsistency for long-run policy commitment.

- Counterfactual — without policy, gains could still be partially shared via labour-market competition; policy should address specific market failures, not displace market processes.
- Magnitude uncertainty — productivity estimates range widely; robust designs perform acceptably across scenarios.
- Distributional consequences — regional and generational.
- Small open economy — UK policy levers are constrained by international compute supply and frontier-model access.
- Policy interactions — training accounts require competition policy to be effective; competition policy without training leaves workers stranded.
- Judgement: a coherent package — skills, competition, social insurance, fiscal adjustment — dominates any single lever. The binding constraint for the UK is more likely competition and compute access than training provision.

Levels apply (see front of mark scheme)

Level	Marks	Descriptor
1	1–5	Isolated knowledge, largely descriptive. Limited use of extract/figure. Very limited or no analysis; no evaluation.
2	6–10	Sound knowledge of at least two relevant concepts. Some application. Analysis is developed but does not engage with the advanced frameworks signalled in the question. Evaluation is undeveloped.
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Question 1(e) — Evaluate (25 marks)

Micro and macro effects on the UK economy of widespread adoption of generative AI, 2026–2035.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — microeconomic effects

- Task-level productivity gains in high-exposure occupations (Figure 1: 11% gain at 29% exposure for Professional group) → measured firm-level productivity increases.
- Wage-structure effects: compression of the within-occupation experience premium; potential polarisation between AI-complementary and AI-substitutable roles.
- Firm-level effects: asymmetric adoption widens the UK productivity distribution; long-tail firms risk falling further behind.
- Product markets: lower prices and higher quality in AI-intensive industries — consumer-surplus gains but producer-surplus redistribution.
- Market structure: frontier-model owners and compute providers capture outsized rents absent competition policy intervention.
- Labour-market reallocation: worker flows from exposed to less-exposed occupations; transitional unemployment.

Indicative content — macroeconomic effects

- Aggregate productivity: if AI is a true general-purpose technology, LRAS shifts right over the decade; effect is back-loaded due to organisational complementarity requirements.
- AD effects: initial investment wave in AI capital and data centres raises I and AD; some crowding-out of traditional investment.
- Inflation: productivity growth is disinflationary for a given AD path; may lower neutral real rate — lower-for-longer rate environment, elevated risk of lower-bound episodes.
- Labour market: gross flows rise; net employment effects depend on output-demand elasticity and speed of new task creation.
- Fiscal position: higher GDP lifts receipts; capital/labour share shifts require base adjustments; productivity-driven growth improves debt sustainability (g vs r).
- Balance of payments: UK is a net importer of frontier compute and models — services deficit widens short-term.
- Regional economy: agglomeration of AI activity in London/Oxford/Cambridge risks widening regional inequality.

Diagram suggestions

- AD/AS: short-run AD shift (investment) plus long-run LRAS shift (productive capacity).
- Labour market: differential effects on substitutable vs complementary occupations.

Evaluation points expected

- Magnitude uncertainty: individual-worker productivity estimates vary 14–37%; aggregate effects depend on diffusion and offsetting frictions (Solow paradox risk).
- Time profile: J-curve — measured productivity may disappoint in the first few years as firms reorganise.
- Distributional consequences dominate political feasibility: a net-positive technology still creates losers.
- Counterfactual: UK growth would be weak without AI; comparison is relative to alternative trajectories.

- Spillovers: positive knowledge spillovers vs negative externalities (compute energy demand, AI safety).
- Policy dependence: the same adoption pattern produces very different outcomes under different competition, skills and tax regimes.
- International benchmarking: UK outcome depends on keeping pace with US/EU AI deployment; falling behind imposes competitiveness costs.
- Supported judgement: widespread AI adoption is likely net positive for UK macro aggregates over the decade, but the distribution of gains across firms, workers and regions is the critical uncertainty and the proper focus of policy.

Levels apply (see front of mark scheme)

Question 2(a) — Explain (5 marks)

Relationship between the US federal funds rate and net capital flows to emerging economies, 2018–2025.

Marks breakdown

AO1 (K)	AO2 (App)
2	3

Indicative content

- Broadly inverse relationship with a lag. When US rates are low (2020–2021: federal funds rate at 0.10%), EM capital flows are positive and rising — 2021 flows of $320bn reflect "search for yield".
- When US rates rise sharply (2022: 4.40%; 2023: 5.40%), EM flows collapse — net outflows of $-50bn in 2023. Higher US rates raise the opportunity cost of EM assets and strengthen the dollar.
- When US policy stabilises and eases (2024: 5.00%; 2025: 4.25%), flows recover to $80bn then $200bn — consistent with restoration of risk appetite.
- Interpretation: the pattern is the empirical signature of the global financial cycle — US monetary policy acts as a powerful common factor for gross capital flows to EMEs, largely regardless of local fundamentals.

Marking notes

- 1–2 marks: simple description of one period.
- 3–4 marks: two periods with data and identification of the inverse relationship.
- 5 marks: chronological explanation across all three regimes (loose → tight → stabilising), with explicit reference to the global financial cycle or similar framework.

Question 2(b) — Examine (8 marks)

Effects on profitability of an emerging-economy commercial bank of a sudden tightening of US monetary policy, with cost and revenue diagram.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)
2	2	4

Indicative content

- Funding cost rises: EM banks often rely on wholesale dollar funding; higher US rates and dollar strength raise the cost of refinancing dollar liabilities.
- Currency mismatch: local-currency depreciation raises the local-currency value of foreign-currency liabilities — a balance-sheet shock distinct from the interest-rate shock.
- Asset-side deterioration: higher domestic rates raise default rates among domestic borrowers — NPLs rise, provisioning costs increase (AC shifts up).
- Demand effects: higher rates and tighter credit reduce loan demand (AR falls) — lower interest income.
- Offsetting factor: wider net interest margins on new lending may partially offset volume losses.
- Liquidity stress: capital outflows can drain deposits or wholesale funding — forced asset fire-sales at distressed prices.

Diagram requirements

- Cost and revenue diagram: AC (funding + provisioning) shifts upward, AR (from lending) shifts downward. Profit area contracts sharply; possible shift from supernormal to loss-making equilibrium.
- Alternative acceptable: bank balance-sheet diagram showing FX mismatch — asymmetric repricing of assets and liabilities, eroding regulatory capital.

Marking notes

- Cap at 5/8 without an appropriate diagram.
- Top-band candidates distinguish funding-cost, credit-risk and currency-mismatch channels rather than treating the effect as a single shock.

Question 2(c) — Discuss (12 marks)

Macroeconomic effects on a small open emerging economy with a flexible exchange rate of a sharp tightening of US monetary policy, using Mundell–Fleming.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
3	3	3	3

Mundell–Fleming analysis

- Classical Mundell–Fleming: under perfect capital mobility with a flexible exchange rate, monetary policy is effective and fiscal policy is crowded out by exchange-rate appreciation.
- US monetary tightening raises world interest rates; capital flows out of the EME to chase higher US yields; the EME currency depreciates.
- Flexible exchange rate acts as the adjustment variable — depreciation theoretically restores external balance and insulates domestic output. This is the trilemma “benefit” of flexibility.

Global financial cycle extension (Rey)

- In practice, the trilemma has degenerated into a “dilemma” for EMEs: the global financial cycle transmits through capital flows, risk premia and dollar credit conditions largely independently of the exchange-rate regime.
- Consequence: a sharp depreciation can be contractionary in an EME via the balance-sheet channel — foreign-currency liabilities rise in local-currency terms, squeezing firm investment and bank capital.

Macroeconomic effects

- Exchange rate: sharp depreciation; possible overshooting due to capital outflows and dollar strength.
- Aggregate demand: depreciation raises net exports (subject to Marshall–Lerner); but capital outflows and higher domestic rates reduce I and C.
- Inflation: import price pass-through raises CPI — cost-push pressure; expectations de-anchoring risk, especially where inflation-targeting credibility is weaker.
- Output: likely contraction despite flexible rate, driven by balance-sheet effects and tighter financial conditions.
- Fiscal position: sovereign spreads widen; foreign-currency debt servicing costs rise; procyclical fiscal tightening may be forced.
- Employment: rises in unemployment as investment contracts and credit tightens; informal-sector absorption partially cushions.

Evaluation points expected

- Exchange-rate flexibility is necessary but not sufficient for macro stability under the global financial cycle.
- Balance-sheet dollarisation — “original sin” — determines whether depreciation is expansionary or contractionary.
- Inflation-targeting credibility matters — determines whether pass-through is temporary or persistent.
- Composition of capital flows: FDI is stickier than portfolio debt; EMEs with deeper domestic capital markets fare better.
- Policy space: central bank reserves, macroprudential tools and external support (IMF, swap lines) augment exchange-rate flexibility.
- Overall: the Mundell–Fleming insulation result is an upper bound; empirically, EMEs face meaningful output and financial-stability costs even under flexible regimes.

Question 2(d) — Evaluate (25 marks)

Micro and macro consequences for an emerging economy of pursuing full financial-account openness in the presence of a strong global financial cycle.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — case for financial-account openness

- Access to external savings: relaxes the domestic savings constraint on investment — higher equilibrium capital stock and growth.
- International risk-sharing: consumption smoothing in response to idiosyncratic shocks.
- Discipline effect: open capital markets impose discipline on macroeconomic policy, anchoring inflation expectations and fiscal policy.
- Financial deepening: foreign participation raises market liquidity, lowers cost of capital and improves corporate governance.
- Technology and management spillovers from FDI — productivity externalities.
- Trade–finance complementarity: deeper financial markets support a larger tradable sector.

Indicative content — case against (or for managed openness)

- Global financial cycle transmits US monetary conditions directly to EME credit and asset markets regardless of local fundamentals (Figure 2 shows net outflows during US tightening).
- Sudden-stop vulnerability: reversal of portfolio flows can collapse the currency, tighten credit, trigger banking crises.
- Original sin: foreign-currency borrowing creates destructive balance-sheet exposures during depreciations.
- Credit-boom–bust cycles: gross inflows during easy global conditions fuel domestic credit booms and asset-price bubbles, followed by painful retrenchment.
- Weakening of monetary autonomy even under flexible rates (the Rey dilemma).
- Twin-crisis risk: banking and currency crises correlate tightly in financially open EMEs.

Theoretical frameworks expected

- Mundell–Fleming trilemma; Rey's dilemma extension.
- Sudden-stops literature (Calvo).
- Diaz-Alejandro-style twin crises (banking + currency).
- Financial integration vs liberalisation distinction.
- Second-best theory: in the presence of other distortions (implicit bailout guarantees, weak prudential supervision), full openness may reduce welfare.

Application expected

- Figure 2: EME flow volatility tightly correlated with US policy — \$320bn inflows in 2021 to \$-50bn outflows in 2023.
- Extract references to original sin, the dilemma view, and expanded safety-net proposals.
- Real-world examples: the 2013 "taper tantrum"; the 2022 EM stress.

Evaluation points expected

- Sequencing matters: capital-account liberalisation without prior strengthening of domestic supervision typically raises crisis probability.

- Composition of flows: FDI liberalisation is low-risk; short-term portfolio-debt liberalisation is high-risk.
- Institutional prerequisites: strong bank supervision, fiscal credibility, deep local-currency bond markets reduce the cost of openness.
- Size effects: smaller, commodity-dependent EMEs are more vulnerable; larger EMEs with diversified economies absorb shocks better.
- Precautionary reserves — the observed EME response — create global imbalances and fiscal costs, but reduce crisis risk.
- Supported judgement: full, unmanaged financial-account openness with a strong global financial cycle is likely welfare-reducing for most EMEs; partial openness (FDI-first, selective portfolio liberalisation) combined with macroprudential tools dominates either corner.

Levels apply (see front of mark scheme)

Question 2(e) — Evaluate (25 marks)

Case for an emerging economy using macroprudential regulation and capital-flow management measures, rather than exchange-rate flexibility alone, to manage the global financial cycle.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — case for macroprudential and CFM tools

- Exchange-rate flexibility alone does not insulate EMEs from the global financial cycle (Rey dilemma). CFMs directly target the source of stress.
- Macroprudential tools (counter-cyclical capital buffers, LTV caps, FX-exposure limits on banks) target specific market failures: credit-boom externalities, fire-sale externalities, under-pricing of systemic risk.
- CFMs (Tobin-style taxes on short-term flows, reserve requirements on foreign-currency deposits, URRs) can lengthen the maturity profile of external liabilities — reducing rollover risk.
- Reduced need for costly precautionary reserve accumulation if CFMs manage flow volatility — frees resources for domestic investment.
- IMF institutional view has accepted CFMs as part of the toolkit when conventional instruments are exhausted or inappropriate.
- Empirical evidence: EMEs with well-designed macroprudential/CFM frameworks (selected South-East Asian and Latin American cases) experienced smaller output drops in 2013 and 2022 shocks.

Indicative content — case against / limits

- Distortions: CFMs are taxes on financial transactions and create deadweight losses; they can push borrowing to less-regulated channels.
- Evasion and leakage: in integrated systems, firms circumvent CFMs (trade mis-invoicing, SPVs).
- Signalling risk: CFMs can be read as evidence of weakness, accelerating the outflows they aim to prevent.
- Institutional capacity: macroprudential policy requires sophisticated data and bank supervision — many EMEs lack this capacity.
- Political economy: CFMs may be captured or misused to shelter connected incumbents from competition.
- Flexible exchange rates are a cleaner automatic stabiliser and avoid the distributional distortions of targeted measures.

Application expected

- Figure 2: the magnitude of the 2022–2023 EM flow reversal (from $320bn inflow to $-50bn outflow) illustrates the scale of volatility a flexible rate alone must absorb.
- Extract references to the dilemma view, expanded swap lines, IMF institutional view, and moral-hazard concerns.
- Real-world examples: Brazilian IOF tax on portfolio flows; Korean macroprudential package post-2009; Chilean URR (1991–1998).

Evaluation points expected

- Policy mix, not either/or: exchange-rate flexibility, macroprudential policy and CFMs are complements. Flexibility provides automatic adjustment; macroprudential addresses financial-stability risk; CFMs target specific capital-flow externalities.

- Design matters: rules-based, transparent, counter-cyclical frameworks outperform discretionary, ad-hoc interventions.
- Temporary vs permanent: CFMs are more defensible when temporary and trigger-based; permanent controls entrench distortions.
- International coordination: unilateral CFMs can shift flows to other EMEs — collective action problem.
- Global safety net: expanded swap lines and IMF facilities reduce the need for country-level insurance, partly substituting for macroprudential tools.
- Interaction with the inflation-targeting regime: stronger credibility allows more reliance on exchange-rate flexibility.
- Supported judgement: exchange-rate flexibility is necessary but not sufficient; a well-designed combination of macroprudential tools and targeted CFMs, paired with multilateral safety nets, dominates flexibility alone for managing the global financial cycle. The appropriate balance depends on institutional capacity, financial depth and shock characteristics.

Levels apply (see front of mark scheme)

TOTAL MARKS AVAILABLE: 100

END OF MARK SCHEME